COVER STORY

NAVIGATING MUTUAL FUNDS IN FALLING MARKETS

Do not sell or stop your MF investments based on worrying headlines about market falls. Learn to manage this turbulent phase instead

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Stock market movements can often resemble heartbeats on an ECG monitor. The ticker fluctuates, going up and down and, yes, there are occasional spikes and dips in the markets just as your heartbeat varies in response to excitement or stress. To address this worrying nature of investors, the stock markets have a financial product—equity-oriented mutual funds (MFs). Unlike how a single stock reacts to stock market shocks, mutual funds are a basket of securities that offer a lot more cover.

Structurally, an MF pools the money of many investors and invests it for them in a collection of securities by purchasing stocks, bonds, money markets,and/or other securities based on the fund's investment objective. According to the regulator SEBI, mutual funds can be broadly categorised as equity-oriented, debt-oriented, hybrid, solution-oriented and others. The equity-oriented category is further divided into about a dozen sub-categories based on stock market combinations such as sector, market capitalisation, value or dividend, etc. For investors, this categorisation is a good starting point to navigate across equity-oriented funds based on their risk tolerance.

Each fund type is associated with a specific risk. For instance, large-cap equity schemes are moderately less risky compared to the small-cap fund which comes with a high-risk tag. This approach helps investors choose an MF scheme based on their investment time-frame and risk-taking ability. If you haven't seen the categorisation document, do look it up on the SEBI or AMFI (Association of Mutual Funds in India) websites to understand how equity-oriented schemes are classified. Once you are conversant with it, you will be able to relate to how funds reacts to stock market changes. You will also be able to appreciate why MFs are a better way to have exposure to the markets than directly investing in stocks (see *9 advantages of investing through MFs*).

AS MUTUAL FUNDS HOLD A BASKET OF INVESTMENTS, THEY PROVIDE SPACE FOR INSTANT DIVERSIFICATION, WHICH CAN MINIMISE PORTFOLIO RISK AND VOLATILITY

VOLATILITY AND MUTUAL FUNDS

When the market is volatile, many mutual fund investors, especially the new ones, panic and often sell their holdings. Some who have experience pause their mutual fund SIPs and many others move their investments from one fund to another. Even investors who entered the market with a long-term vision start to doubt their investment rationale. Investors must know that market volatility is inevitable—you cannot escape it if you decide to play the investing game, but you can learn to ride it.

Market volatility refers to the degree of variation or fluctuation in the NAV (net asset value) price of a mutual fund over a certain period. In other words, it measures how drastically prices move up or down in a given time-frame. Higher volatility means prices swing widely and unpredictably, while lower volatility indicates more stable, gradual price changes. Volatility is an indicator of market risk—when it spikes, so does uncertainty and potential risk for investors.